

Module 6

Financial Accounting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)**Answer 1(a)**

Working for consolidated statement of profit or loss and other comprehensive income for the year ended 30 September 2019:

	PYL HK\$	CUL HK\$	Dr HK\$	Cr HK\$	Group HK\$
Sales revenue	3,558,600	1,425,400 ⁴	260,000		4,724,000
Cost of goods sold	<u>(1,675,200)</u>	<u>(854,300) ²</u>	50,000		<u>(2,343,500)</u>
				236,000 ⁴	
Gross profit	1,883,400	571,100			2,380,500
Depreciation	(330,000)	(160,000) ¹	40,000		(530,000)
Other expenses	(108,700)	-			(108,700)
Other revenues	45,220	39,100 ³	22,500		61,820
Share of Profit or Loss of Associates	<u>-</u>	<u>-</u>		45,120 ⁶	<u>45,120</u>
Profit before income tax	1,489,920	450,200			1,848,740
Income tax expense	<u>(264,600)</u>	<u>(85,000)</u>			<u>(349,600)</u>
Net Profit	1,225,320	365,200			1,499,140
NCI Share of Profit or Loss	-	- ⁵	62,800		<u>(62,800)</u>
Profit or Loss to Parent's owners	<u>1,225,320</u>	<u>365,200</u>			<u>1,436,340</u>

The following journal entries are NOT required by the question

(1) Revaluation of Machinery of CUL on acquisition (machinery has been depreciated for one year)

DR	Machinery (net)	HK\$160,000	
DR	Depreciation Expense- Machinery (HK\$200,000 / 5 years)	HK\$40,000	
CR	Business Combination Valuation Reserve		HK\$200,000

(2) Revaluation of Inventory of CUL on acquisition (inventory has been sold out in the current year)

DR	Cost of Goods Sold	HK\$50,000	
CR	Business Combination Valuation Reserve		HK\$50,000

Elimination of investment in PYL

DR	Share Capital	HK\$3,500,000	
DR	General Reserve	HK\$800,000	
DR	Retained Earnings (1/10/18)	HK\$1,254,000	
DR	Goodwill	HK\$196,000	
DR	Business Combination Valuation Reserve	HK\$250,000	
	CR Investment in CUL		HK\$4,500,000
	CR Non-controlling Interests		HK\$1,500,000

Alternatively, for entries (1) to (3):

DR	Share Capital	HK\$3,500,000	
DR	General Reserve	HK\$800,000	
DR	Retained Earnings (1/10/18)	HK\$1,254,000	
DR	Goodwill	HK\$196,000	
DR	Machinery (net)	HK\$200,000	
DR	Inventory	HK\$50,000	
	CR Investment in CUL		HK\$4,500,000
	CR Non-controlling Interests		HK\$1,500,000
DR	Depreciation Expense - Machinery	HK\$40,000	
DR	Cost of Goods Sold	HK\$50,000	
	CR Machinery (net)		HK\$40,000
	CR Inventory		HK\$50,000

(3) Elimination of intra-group dividend

DR	Dividend Revenue	HK\$22,500	
DR	Non-controlling Interests	HK\$7,500	
	CR Dividend Paid		HK\$30,000

(4) Elimination of unrealized profit in intra-group inventory transfer (upstream)

DR	Sales	HK\$260,000	
	CR Cost of Goods Sold		HK\$236,000
	CR Inventory $HK\$(260,000 - 200,000) \times (1-60\%)$		HK\$24,000

(5) NCI share of profit or loss in CUL

DR	Income to Non-controlling Interests	HK\$62,800	
	CR Non-controlling Interests		HK\$62,800
	$HK\$(365,200 - 40,000 - 50,000 - 24,000) \times 25\% = 62,800$		

(6) Share of profits of LOL (associate) in the current year

DR	Investment in LOL	HK\$45,120	
	CR Share of Profits of Associate		HK\$45,120
	$HK\$(165,400 - 15,000^*) \times 30\% = 45,120$		

* Note: adjustment for depreciation on revaluation of plant: $(HK\$750,000 - 600,000) / 10$ years

Answer 1(b)

Investment in CUL = HK\$0

Investment in LOL = HK\$1,800,000 + HK\$45,120 = HK\$1,845,120

Goodwill = HK\$196,000

NCI = HK\$1,500,000 + HK\$62,800 – HK\$7,500 = HK\$1,555,300

Answer 1(c)

HKFRS 3 applies a different rule to the measurement of the non-controlling interest depending on whether or not the relevant shareholders are entitled to a proportionate share of the entity's net assets in the event of liquidation.

Where holders of the non-controlling interest are entitled to a proportionate share of the net assets on a liquidation, HKFRS 3 (para. 19) requires that the non-controlling interest in the acquiree is measured either at:

- Fair value; or
- The non-controlling interests' proportionate share of the acquiree's identifiable net assets.

Where holders of the non-controlling interest are not entitled to a proportionate share of the net assets on a liquidation, the non-controlling interest should be measured at fair value.

HKFRS 3 requires non-controlling interests to be presented within equity as a separate line item. This means that it treats all providers of equity including non-controlling interests as shareholders in the group, even if they are not shareholders in the parent.

Answer 2(a)

Sunlight Cosmetics Limited

Statement of Profit or Loss and Other Comprehensive Income for the year ended 31 March 2019

	HK\$'000
Revenue	155,400
Cost of sales (W2)	(107,742)
Gross Profit	47,658
Distribution costs (W2)	(10,560)
Administrative expenses (W2)	(24,160)
Other expenses (W2)	(3,400)
Finance income	11,700
Finance costs (HK\$182 + HK\$28,000 x 8%)	(2,422)

Loss on legal claims	(10,000)
Profit before tax	8,816
Income tax expense	(1,580)
Profit for the year	7,236
Other comprehensive income	
Gain on revaluation of land	4,500
Total comprehensive income for the year	11,736

Sunlight Cosmetics Limited
Statement of Financial Position as at 31 March 2019

	HK\$'000	HK\$'000
Non-current assets		
Property, plant and equipment (W1)		86,340
Current assets		
Inventories (W2) (5,680 - 160)	5,520	
Trade receivables	24,830	
Cash and cash equivalents	23,190	53,540
Total assets		139,880
Equity		
Share capital	33,930	
Retained earnings HK\$(38,637 + 7,236 (b/f) - 2,500)	43,373	
Revaluation surplus HK\$(4,635 + 4,500)	9,135	86,438
Non-current liabilities		
Redeemable preference shares	2,600	
8% bank loan	28,000	30,600
Current liabilities		
Trade payables	10,142	
Income tax payable	1,580	
Interest payable	1,120	
Provision for legal claims	10,000	22,842
Total liabilities and equity		139,880

W1 - Property, plant and equipment:

	Land	Buildings	Plant and Equipment	Total
	HK\$'000	HK\$'000	HK\$'000	HK\$'000
Cost b/d	60,000	20,800	15,220	96,020
Accumulated depreciation b/d	-	(7,560)	(3,170)	(10,730)
	<u>60,000</u>	<u>13,240</u>	<u>12,050</u>	<u>85,290</u>
Depreciation charge for year:				
Buildings: HK\$20,800 x 5%	-	(1,040)	-	(1,040)
Plant and Equipment:				
HK\$(15,220 - 3,170) x 20%	-	-	(2,410)	(2,410)
	<u>60,000</u>	<u>12,200</u>	<u>9,640</u>	<u>81,840</u>
Revaluation gain	4,500	-	-	4,500
Carrying value c/d	<u>64,500</u>	<u>12,200</u>	<u>9,640</u>	<u>86,340</u>

W2 - Expenses

	Cost of sales	Distribution	Administrative	Other
	HK\$'000	HK\$'000	HK\$'000	HK\$'000
Per trial balance	104,500	10,560	23,120	3,400
Opening inventories	6,352	-	-	-
Depreciation on buildings (W1)	-	-	1,040	-
Depreciation on plant and equipment (W1)	2,410	-	-	-
Closing inventories	-	-	-	-
HK\$(5,680K - 160K(W3))	(5,520)	-	-	-
	<u>107,742</u>	<u>10,560</u>	<u>24,160</u>	<u>3,400</u>

W3 - Inventories:

	HK\$'000
Obsolete goods:	
Selling price	
(HK\$700K / 70% x 60%)	600
Sales commission to agent	
(HK\$600K x 10%)	(60)
Net realisable value	<u>540</u>
Cost	<u>(700)</u>
Write-off required	<u>(160)</u>

Answer 2(b)

The fundamental qualitative characteristics are relevance and faithful representation.

Relevant financial information is capable of making a difference in the decision made by users. Financial information is capable of making a difference in decisions if it has predictive value, confirmatory value or both.

Recognising a provision in legal claims on the statement of financial position in accordance with HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets* can assist users to make better prediction about the company's future cash outflows.

Financial information must faithfully represent the phenomena that it purports to represent. This means that the information must be complete, neutral, free from error and reflect the commercial substance of a transaction rather than its legal form.

HKAS 32 *Financial Instruments: Presentation* requires that the redeemable preference shares (legal form is capital) are accounted for as debt because they meet the definition of a financial liability (i.e. a financial liability in substance).

Answer 3(a)

Machinery

Determining the expected useful life and residual value of the machinery are accounting estimates under HKAS 8, as judgement has been exercised in estimating the expected period of time the machinery will be used by BOL and estimating the residual value at the end of the useful life of the machinery. Revision of this expected time period and residual value by BOL would, therefore, constitute a change in accounting estimates.

Prior to the revised estimates of useful life and residual value, the annual depreciation charge equals HK\$210,000 ((HK\$2,600,000 – HK\$500,000) / 10 years). Based on this annual depreciation charge, the carrying amount of the machinery as at 31 December 2018 is as follows:

	HK\$
Cost	2,600,000
Accumulated depreciation	(840,000)*
	<u>1,760,000</u>

*HK\$840,000 = HK\$210,000 x 4 years

Effective from 1 January 2019, the revised estimates results in an annual depreciation charge of HK\$365,000 ((HK\$1,760,000 – HK\$300,000) / 4 years). The changes in the accounting estimates for useful life and residual value are reflected in the carrying amount of the machinery as at 31 December 2019 through the depreciation charge of HK\$365,000 for the year ended 31 December 2019, which is demonstrated as follows:

	HK\$
Cost	2,600,000
Accumulated depreciation	(1,205,000)
	<u>1,395,000</u>

As the change in accounting estimate is to be applied prospectively, restatement of the 2018 financial statements is not required.

Answer 3(b)

Inventory

Applying HKAS 8, a change in accounting policy has occurred as BOL has altered its basis for measuring inventories on hand. Under HKAS 8, as the change in inventory cost formula is voluntarily undertaken by management when the change results in the financial statements providing reliable and more relevant information (HKAS 8.14(b)), it is to be applied retrospectively to the extent it is practicable to do so.

Based on the facts provided, management is able to determine the period-specific effect (2018) and the cumulative effect (pre-2018) of the change in inventory valuation method. BOL is required to adjust the opening balance of retained earnings for the earliest prior period presented (i.e. January 2018), and other comparative amounts disclosed for each prior period presented (i.e. 2018) and in the financial statements of the current period (i.e. 2019), which is the period the change in accounting policy occurred.

Due to the increase in cost of goods sold, restated profit before income taxes for the year ended 31 December 2018 is lower by HK\$600,000, which has two effects. First, income tax expense is restated to a lower amount (lower by HK\$99,000 = HK\$600,000 x 16.5%) as less taxes are payable on lower taxable profits. Second, retained earnings as at 31 December 2018 is lower due to a lower restated profit figure (lower by HK\$501,000 = HK\$600,000 – HK\$99,000) for the 2018 reporting period. Inventory as at 31 December 2018 is also to be restated (lower by HK\$600,000).

The retrospective application of the change in inventory valuation method pre-2018 is reflected in the restatement of the retained earnings balance as at 31 December 2017 as shown below:

Bob Limited **Extract from the statement of changes in equity**

	Retained earnings HK\$'000
Balance as at 31 December 2017 as previously reported	15,700
Change in accounting policy for the shift from FIFO to weighted average inventory valuation (net of income taxes) (W1) (2800-462)	(2,338)
Balance as at 31 December 2017 as restated	13,362
Profit for the year ended 31 December 2018 as restated (W2)	929
Balance as at 31 December 2018	14,291
Profit for the year ended 31 December 2019	1,690
Balance as at 31 December 2019	<u>15,981</u>

W1 Change in retained earnings (for all periods prior to 2018):

	HK\$'000
Increase in cost of goods sold due to change in inventory valuation basis	(2,800)
Net of: Income taxes (HK\$2,800 x 16.5%)	<u>462</u>
Decrease in retained earnings as at 31 December 2017	<u>(2,338)</u>

W2 Restated profit for the year ended 31 December 2018:

	HK\$'000	HK\$'000
After-tax profit as per question		1,430
Increase in cost of goods sold due to change in inventory valuation basis	(600)	
Net of: Income taxes (HK\$600 x 16.5%)	<u>99</u>	
Restated profit for the year ended 31 December 2018	(501)	<u>929</u>

Answer 4(a)

At the inception of the lease contract on 1 September 2018, KAL has to determine whether the lease contract contains a lease under HKFRS 16. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration [HKFRS 16 para 9].

To assess whether a contract conveys the right to control the use of an identified asset for a period of time, the customer shall obtain substantially all the economic benefits from use of the identified asset and the right to direct the use of the identified asset. The lease agreement explicitly states that the lease conveys exclusive use of the retail space by KAL and KAL would obtain substantially all the economic benefits from the use of the retail space for its business. KAL also has full discretion on the usage of the retail space throughout the lease period.

An asset is typically identified by being explicitly specified in a contract. The lease contract of KAL specified that it is for the lease of 1,000 square feet of retail space No. 308 in a shopping mall. However, even if an asset is specified, a customer does not have the rights to use an identified asset if the supplier has the substantive right to substitute the asset throughout the period of use.

A supplier's right to substitute an asset is substantive only if both conditions exist: (a) the supplier has the practical ability to substitute alternative assets throughout the period of use; and (b), the supplier would benefit economically from the exercise of its right to substitute the asset.

In this case, although WPL can request KAL to move to another retail space on condition that there is a similar retail space available, the substitution right is not substantive as there is no other similar retail space (1,000 square feet) immediately available in the shopping mall. Also, it is not beneficial for WPL to restructure small retail spaces (combine them to get a 1,000 square feet retail space) since the per square feet rental of small retail space is higher than that of the larger one.

In conclusion, the lease contract that KAL entered into with WPL contains a lease.

Answer 4(b)

It is incorrect.

According to HKFRS 16 *Leases*, a lessee shall recognise the lease payments as an expense only if the lease is short-term (less than 12 months with no purchase option) and the lease for which the underlying asset is of low value (less than US\$5,000 e.g. tablets, personal computers, small items of office furniture & telephones).

For the lease contract between WPL and KPL, since the lease term is 4 years and the asset value is more than US\$5,000, KPL shall not recognise the lease payments as an expense. Instead, KPL is required to recognise a right-of-use asset representing its right to use the underlying leased asset (the retail space) and a lease liability representing its obligation to make any future lease payments.

Answer 4(c)

Journal entries of KAL to record the lease for the year ended 31 December 2019:

Dr	Right-of-use asset	HK\$2,314,105	
	Cr Lease liability (Workings)		HK\$2,244,105
	Cr Bank/ Payable (HK\$20,000 + HK\$50,000)		HK\$70,000
<i>Initial recognition of right-of-use asset and lease liability</i>			

Dr	Lease liability	HK\$600,000	
	Cr Bank		HK\$600,000
<i>Recognition of first annual rental payment</i>			

Dr	Interest expense	HK\$98,646	
	Cr Lease liability		HK\$98,646
<i>Recognition of accrued interest [HK\$(2,244,105 – 600,000) x 6% = HK\$98,646]</i>			

Dr	Depreciation expense	HK\$578,526	
	Cr Right-of-use asset		HK\$578,526
<i>Recognition of depreciation of right-of-use asset (HK\$2,314,105 / 4 years)</i>			

Workings:

Present value of the lease liability (lessee):

Year	Lease payment	Discount factor	Present value of lease payment
	HK\$		HK\$
2019	600,000	1 / 1.00	600,000
2020	600,000	1 / 1.06 ¹	566,037
2021	623,300*	1 / 1.06 ²	554,734
2022	623,300	1 / 1.06 ³	523,334
			<u>2,244,105</u>

*HK\$600,000 x 107 / 103 = HK\$623,300

The annual payments in 2021 and 2022 are adjusted by reference to the Consumer Price Index ("CPI"). Since the CPI stood at 103 on 1 January 2019 and WPL has estimated that the CPI would increase to 107 by end of 31 December 2020, therefore, the annual payment will increase from HK\$600,000 to HK\$623,300.

Answer 5

HKFRS 15 *Revenue from Contracts with Customers* requires the goods or services promised in a contract to be accounted for as separate performance obligations if they are distinct.

A promised good or service is distinct if both of the following criteria are met:

- (a) the customer can benefit from the good or service either on its own or together with other resources that are readily available to the customer (i.e. the good or service is capable of being distinct); and
- (b) the entity's promise to transfer the good or service to the customer is separately identifiable from other promises in the contract (i.e. the promise to transfer the good or service is distinct within the context of the contract).

If a promised good or service is not distinct, an entity shall combine that good or service with other promised goods or services until it identifies a bundle of goods or services that is distinct.

In the case of HEL, the hardware is always sold in a package with the professional and hosting services. The clients cannot use the hardware on its own or with resources that are readily available to it. As a result, the hardware is not capable of being distinct on its own.

In fact, the hardware is integral to the delivery of the hosted software. The hardware is significantly customised to the hosted software. The hardware and the hosting services are highly dependent on and highly interrelated with each other, hence it is not distinct within the context of the contract.

These two components should, therefore, be bundled together and accounted for as one performance obligation.

The professional services, however, are capable of being distinct because the entity regularly sells these services separately. Furthermore, the professional services are distinct within the context of the contract because these services are not dependent on, or highly interrelated with other promised goods or services in the contract (i.e. the hardware and the hosting services). Therefore, the professional services, which are distinct, would be determined as another separate performance obligation.

* * * END OF EXAMINATION PAPER * * *